

sheets of many major financial institutions, including Bear Stearns, Lehman Brothers, AIG, Fannie Mae, Freddie Mac, and Merrill Lynch.

The damage soon spread to the real economy, spurring a stock market collapse, a widespread sell-off in corporate credit, and a severe economic downturn, resulting in the worst financial crisis in three-quarters of a century. The Federal Reserve immediately cut interest rates to next to nothing, and the U.S. Congress passed a variety of bills to support both enterprises on the brink and individuals who were struggling. Central banks and legislators around the world responded similarly.

As the United States and other global economies began to recover, the financial markets went on an 11-year bender through March of 2020, the longest equity bull market on record, a period during which the S&P 500 rose fivefold. It then doubled again from April 2020 through January 2022. Continued zero interest rate policy, massive buying of Treasury bonds and mortgage securities by the Fed, and a variety of other unprecedented interventions fueled the market exuberance.

As economic activity was normalizing, the March 2020 emergence of the first global pandemic since the influenza of 1918–1919 essentially shut down parts of the United States and global economies, precipitating another series of stimulative measures. By early 2022, the ongoing impact of enormous economic stimulus as well as supply chain difficulties caused by an uneven economic recovery, growing worker shortages, Chinese Covid-related shutdowns, and the Russian invasion of Ukraine contributed to the worst bout of inflation in four decades. This, in turn, triggered a sharp reversal of Fed policy, leading to considerably higher interest rates and a sharp stock market sell-off, especially in the shares of the highest flyers. The previous, unprecedented economic stimulus and accommodative monetary policy measures are only starting to be reversed as we write, leaving investors and markets in a heightened state of uncertainty. An economic downturn seems increasingly likely.